



Weekly Insights | Feb 25, 2026

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Executive Summary

Corn – Execution Strength Offsets a Firmer Board as Carry Holds

Corn finished fractionally higher with March near \$4.27, but the bigger move was under the hood: inspections surged to 2.01 MMT for the week ending Feb 19 and Gulf basis firmed to roughly +92H. Even with that demand signal, the March–May spread widened to about an 11-cent carry (roughly 72 percent of full carry), keeping structure consistent with comfortable nearby coverage rather than stress. Funds remain net short near 42k, so the market still has a defensive speculative overlay, but this week’s message was simple: cash tone and export execution stayed strong

enough to prevent the board from slipping, even as the curve continues to pay storage.

Wheat – Carry Rebuilds as Competition Caps Upside

Chicago SRW futures recovered modestly, with March settling near \$5.63 1/2, up 4 cents from February 19, while the March–May spread widened modestly toward a 10 cent carry, roughly 61 percent of full carry. Structure remains in carry and consistent with comfortable nearby supply, but it is not signaling a market fully rewarding storage. Weekly export inspections totaled 0.54 MMT for the week ending February 19, keeping cumulative shipments modestly ahead of last year, but global competition remains persistent. Russian 12.5 percent FOB values near \$235/MT continue to anchor world pricing, limiting U.S. export competitiveness at the margin. Gulf and interior basis levels were largely steady to slightly softer, reflecting adequate coverage rather than urgency. Managed money maintains a sizeable net short position, reinforcing a defensive tone. Without a fresh production shock or a shift in export competitiveness, rallies remain constrained and structure continues to reflect a heavy balance sheet.

Soybeans – Domestic Demand Supports, but Brazil Caps the Board

Soybeans softened modestly this week, with March settling near \$11.34 1/4, down 6 3/4 cents from February 19, while the March–May spread widened to roughly a 16 cent carry, approximately 70 percent of full carry. The wider carry structure reinforces comfortable nearby coverage and reflects seasonal pressure as Brazil dominates the export window. Weekly inspections totaled 0.67 MMT for the week ending February 19, below earlier peaks, and cumulative exports remain well behind last year as Brazil controls early-season flow. January NOPA crush at 221.56 Mbu continues to underscore strong domestic processing demand, though soybean oil stocks remain elevated. CIF Gulf basis softened slightly to +95H, and interior processor bids eased, reflecting limited urgency amid accelerating South American harvest flow. ANEC projects February soybean exports near 11.4 MMT, reinforcing Brazil’s seasonal pricing ceiling. Managed money is net long in soybeans (roughly +92,000 contracts), adding a more constructive

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speculative tone, but the market remains supported by domestic pull and still capped near-term by Brazil's export window.

(Carry percent calculated assuming 7 percent annual interest and \\$.05/bu per month storage/insurance cost over the spread interval.)

Macro / Policy – Dollar Firm as Ethanol Output Improves

The U.S. dollar remained firm through the week, adding marginal pressure to export competitiveness across grains. Crude oil stabilized in the low-\$60s per barrel range, providing limited support to biofuel-linked demand. Ethanol production for the week ending February 13 rose to 1.118 million barrels per day from 1.110 previously, while stocks remain elevated near seasonal highs, indicating steady grind without acceleration. Broader risk sentiment remained mixed, with macro flows influencing tone more than structure as grain markets continue to trade primarily on internal balance sheet dynamics.

Weather – Argentina Reenters Focus as U.S. Turns Warmer

NOAA's 6–10 and 8–14 day outlooks favor above-normal temperatures across much of the central U.S., with a more active precipitation corridor extending into the eastern Midwest. In Brazil, widespread rainfall continues to support safrinha development while occasionally slowing harvest logistics. Argentina's February rainfall remains below normal across key producing areas, and second-crop soybeans entering critical grain-fill stages face renewed moisture stress, though official production estimates remain unchanged at 48.5 MMT. With global weather largely quiet elsewhere, Argentina remains the primary volatility variable.

What's Next (Feb 25 – Mar 4):

Whether corn inspections stay above two MMT

Whether soybean sales confirm demand despite ANEC strength

Whether CFTC reduces shorts further in corn and wheat

Argentina dryness persistence

Ethanol acceleration or stall

Dollar direction

Table A – CME Futures (Front Contracts)

(Prices in USD per bushel, volume/open interest in contracts)

Contract (Front Month)	02/19/2026 Close	02/25/2026 Close	Change (Δ)	Δ percent	5-day Realized Vol* (x)	Open Interest Δ (x)
Corn (Mar '26)	\$4.25	\$4.27	+\$0.02	+0.47 percent	16 percent (ann.)	-7k (est.)
Soybeans (Mar '26)	\$11.41	\$11.34	-\$0.07	-0.59 percent	13 percent (ann.)	-4k (est.)
Wheat (Mar '26)	\$5.59	\$5.63	+\$0.04	+0.72 percent	22 percent (ann.)	+2k (est.)

5-day realized volatility estimated from daily settlement price changes.

Actual contract open interest changes are estimated.

Table B – Key Calendar Spreads & percent of Full Carry

Spread (Crop '25→'26)	02/19/2026 Quote	02/25/2026 Quote	Δ (carry)	percent Full Carry*	Market Implication
Corn Mar–May	+0.08\$	+0.11\$	+0.03	72 percent	Carry firmed; structure stable with comfortable nearby supply
Soy Mar–May	+0.12\$	+0.16\$	+0.04	70 percent	Carry-driven; wider spread reflects seasonal Brazil pressure
Wheat Mar–May	+0.09\$	+0.10\$	+0.01	61 percent	Moderate carry; supply comfortable but not pressing full storage

Assumes 7 percent annual interest and \$0.05/bu per month storage/insurance. Estimated full carry over Mar–May (2 months): corn ≈ \$0.15, SRW wheat ≈ \$0.16, soybeans ≈ \$0.22. Percent of full carry = (calendar spread ÷ estimated full carry).

Table C – Notable International Futures (weekly moves, if significant):

Exchange (Front Month)	02/19/2026 USD Price	02/25/2026 USD Price	Δ percent	Notes
Dalian Corn (Mar)	¥2,425(\$8.53/bu)	¥2,415 (\$8.49/bu)	-0.41 percent	Stabilizing post-holiday; monitoring domestic supply flows
Dalian Soymeal (Mar)	¥2,820(\$390.04/mt)	¥2,794 (\$386.44/mt)	-0.92 percent	Tracking softer CBOT meal amid Brazil harvest pressure
B3 (São Paulo) Corn (Mar)	R\$71.26 (\$13.07)	R\$71.99 (\$13.21)	+1.02 percent	Domestic firmness; producer retention and safrinha timing
Euronext Wheat (Mar)	€191.50 (\$206.82/mt)	€196.75 (\$212.49/mt)	+2.74 percent	Technical rebound; EU wheat responding to Black Sea stabilization

Corn Market Deep Dive

Futures & Spreads: Corn futures firmed slightly this week, with March settling near \$4.27 3/4, up 2 cents from February 19. While flat price moved only marginally, the March–May spread widened to roughly an 11 cent carry, consistent with approximately 72 percent of full carry under the two-month storage framework. The market remains comfortably in carry, signaling adequate nearby supply and stable commercial coverage rather than tightening. Volatility remains contained, and price action continues to reflect consolidation rather than directional momentum. The curve is stable even as the market continues to weigh strong execution against an otherwise ample global supply backdrop.

Funds & Positioning: Managed Money holds a net short position near 42,313 contracts as of the February 17 report, reflecting a defensive but not extreme speculative stance. The shift was driven primarily by modest additions to gross shorts rather than aggressive long liquidation. While the net short is meaningful, it remains below prior cycle extremes. Importantly, spreads have not collapsed in response to the heavier positioning, suggesting that speculative pressure is being absorbed without structural deterioration. Funds appear positioned defensively but not aggressively pressing the downside.

Cash & Basis: Cash markets strengthened modestly. CIF Gulf corn improved to +92H, reflecting firm export demand and minor freight friction tied to draft constraints along portions of the river system. Interior

river bids firmed as well, while processor bids held steady. Basis is not surging, but the tone is constructive. The physical market continues to signal steady movement rather than distress, with logistics normalized enough to prevent bottlenecks but tight enough to keep freight supportive. Nearby commercial flow remains orderly.

Export Sales & Inspections: Export inspections for the week ending February 19 accelerated to approximately 2.01 MMT, a clear step higher from the prior week and reinforcing strong execution. Cumulative shipments remain comfortably ahead of last year and continue tracking in line with USDA's export projection. Weekly export sales remain active, with forward commitments sustaining program visibility into late winter. Shipments represent a large share of USDA's export projection, underscoring that demand performance remains the primary stabilizing force in the balance sheet. The export channel continues to offset softer flat price dynamics.

Global Context: Brazil's February corn export pace, while active, is running below last year's level, reducing immediate competitive pressure at the margin. Argentine production estimates remain steady, though recent rainfall variability introduces localized uncertainty. Black Sea corn offers remain competitive but not decisively undercutting U.S. Gulf into core Western Hemisphere destinations. Mexico continues to anchor U.S. demand, and Latin American flows remain consistent. Global supply remains ample, but U.S. origin retains competitive footing in key channels.

So What? Corn's structure remains more stable than the board implies. Flat price has softened, and speculative shorts remain meaningful, yet spreads hold near around 72 percent of full carry and basis has firmed modestly. Export execution remains the anchor. Absent a deterioration in shipments or a renewed surge in global competition, the market continues to trade within a carry-defined range. For now, structure is steady, positioning is defensive, and downside momentum remains contained by physical flow.

Soybean Market Deep Dive

Futures & Spreads: Soybeans softened modestly this week, with March settling near \$11.34. The March–May spread widened to roughly a 16 cent carry, near 70 percent of full carry. The structure remains clearly in contango but not at full storage economics, suggesting adequate nearby supply without signaling pressure. Price action reflects stabilization rather than momentum, with the front end supported but not urgent.

Products & Crush: Domestic processing continues to anchor the complex. January NOPA crush at 221.56 million bushels reaffirmed historically strong throughput, even as soybean oil stocks remain elevated near 1.9 billion pounds. Crush margins continue to lean meal-driven, with soybean meal demand providing the bulk of processing support. The product complex has not accelerated meaningfully, but neither has it deteriorated. Domestic use remains the primary structural pillar for U.S. soybeans as export competitiveness fluctuates.

Cash & Basis: Cash markets softened slightly at the Gulf, with CIF values easing toward +95H as Brazilian harvest pressure builds. Interior processor bids slipped modestly as well, reflecting reduced urgency amid improving South American logistics. The nearby market remains supported by crush pull rather than export-driven tightening. Basis tone is stable but not strengthening, underscoring the divergence between steady domestic demand and heavier global supply availability.

Funds & Positioning: Managed Money holds a net long position near **92,000** contracts as of the February 17 report. Positioning is constructive rather than defensive, which helps explain why breaks have been absorbed even as Brazil dominates the export window. The tradeoff is that length introduces liquidation risk if South American flow stays smooth and demand fails to re-accelerate. In short, soybeans

are not set up like a crowded short market; they are supported, but more vulnerable to sentiment shifts if the fundamental tape softens.

Export Sales & Inspections: Weekly export inspections for the week ending February 19 totaled approximately 0.67 MMT, a noticeable step down from the prior week. Cumulative inspections remain materially behind last year's pace, reflecting Brazil's dominant early-season window. ANEC projects February soybean exports near 11.4 MMT, well above last year's February pace and reinforcing South America's pricing influence. U.S. export flow remains functional but secondary in the global trade rotation. The export channel continues to operate, but it is not the primary demand driver at this stage of the marketing year.

Global Context: Brazil's soybean production estimate remains near 178 MMT, with harvest advancing under broadly favorable conditions across central regions. FOB Santos values remain competitive into Asia, effectively setting the ceiling for U.S. pricing absent a freight or currency shift. Argentina's soybean outlook holds near 48.5 MMT, though renewed dryness across second-crop areas reintroduces weather sensitivity. For now, Brazil defines the global supply narrative, while Argentina remains the volatility variable rather than a confirmed disruption.

So What? Soybeans remain supported by domestic processing but capped by Brazil's seasonal export dominance. The board finished slightly lower on the week and the March–May spread widened versus last week, reinforcing a carry-driven tone as nearby coverage stays comfortable and South America sets the external ceiling. Export flow remains functional but secondary, while crush continues to provide the structural floor. With managed money net long near 92,000 contracts, the complex is more sensitive to an upside surprise in demand or South American weather than to a liquidation-driven break. Absent a material shift in export competitiveness or a realized supply disruption in South America, price discovery is likely to remain anchored by carry economics and the pace of Brazilian flow.

Wheat Market Deep Dive

Futures & Spreads: Wheat futures recovered modestly this week, with March Chicago SRW settling near \$5.63 1/2, up 4 cents from February 19. The March–May spread widened toward a 10 cent carry, roughly 61 percent of full carry, reinforcing comfortable nearby supply without signaling a market fully rewarding storage. The rally continues to read as more technical than fundamentally driven, with structure remaining in carry and consistent with adequate coverage. Kansas City and Minneapolis followed a similar tone, with no meaningful divergence within the complex.

Cash & Basis: Cash markets were largely steady. CIF Gulf SRW basis softened modestly toward +65H, while interior levels showed little evidence of tightening. Plains HRW basis remained stable near -20H despite localized weather variability, and Pacific Northwest values held firm, reflecting routine coverage rather than scarcity. The absence of basis acceleration alongside widening carry underscores a market that is adequately supplied. Physical flow remains orderly, and commercial coverage appears sufficient.

Export Sales & Inspections: Weekly export inspections for the week ending February 19 increased to approximately 0.54 MMT, a firmer pace relative to the prior week. Export sales remain routine but not accelerating, and cumulative shipments continue to track broadly in line with USDA projections. While export flow is functioning, volumes remain insufficient to materially alter the broader balance sheet narrative. The program is steady, but not dynamic.

Global Context: Russian 12.5 percent FOB values firmed toward \$235/MT, offering modest support to

global pricing, and Euronext wheat rebounded nearly 3 percent on the week. However, Black Sea supply remains structurally available, and competitive offers into North Africa and the Middle East continue to anchor world values. Ukrainian exports remain active through established channels, and European origin has re-entered select tenders. No logistical or policy disruption has emerged to materially tighten availability. Global supply remains ample, even if short-term pricing has stabilized.

Funds & Positioning: Managed Money maintains a substantial net short position near 69,567 contracts as of the February 17 report. While exposure is below prior extremes, it remains meaningful and continues to reflect a defensive stance. The recent price recovery has not triggered meaningful short covering, suggesting that speculative conviction remains intact. Positioning offers latent upside risk, but absent a structural catalyst, funds appear comfortable maintaining exposure.

So What? Wheat's structure has grown heavier even as flat price improved. The expansion deeper into carry reinforces comfortable coverage, though still short of full storage economics. Export flow has strengthened modestly, and global pricing has stabilized, but neither development has tightened the balance sheet meaningfully. With funds still meaningfully short and spreads rewarding storage, the market remains rangebound. Until a material production shock or export disruption emerges, wheat is likely to trade within carry-defined boundaries rather than trend decisively higher.

US Cash Market & Basis

Corn: Corn basis strengthened modestly across primary corridors despite softer futures. CIF Gulf values improved to approximately +92H, supported by strong export inspections and slight freight friction tied to draft constraints along the Illinois River system. Interior river bids firmed toward +24H in St. Louis, reflecting continued export execution and limited farmer selling. Midwest ethanol plant bids remained stable, reinforcing steady grind demand. While flat price drifted lower on the board, the physical market tone was constructive. The nearby cash market signals orderly movement rather than liquidation pressure, with export demand continuing to underpin basis strength.

Soybeans: Soybean basis softened slightly at the Gulf as Brazilian harvest momentum increased. CIF Gulf values eased toward +95H, reflecting steady but less urgent export demand relative to prior weeks. Interior processor bids across the Midwest slipped modestly, indicating adequate nearby coverage amid strong January crush but rising South American competition. River logistics remain normalized, reducing transportation friction. The cash market remains supported by domestic processing, yet lacks the tightening tone seen earlier in the month. Basis stability persists, though the directional bias has softened marginally.

Wheat: Wheat cash markets were broadly steady. CIF Gulf SRW basis held near +65H, while HRW basis across the Plains remained anchored near -20H. Pacific Northwest values were unchanged, reflecting routine export coverage rather than incremental demand acceleration. Despite modest improvement in futures, basis has not strengthened meaningfully, underscoring comfortable nearby availability. The widening calendar spreads reinforce the view that inventory coverage is adequate. Physical wheat markets continue to signal sufficiency rather than scarcity.

So What? Cash markets continue to trade with greater stability than flat price suggests. Corn basis has firmed alongside strong export flow, soybeans show mild softening as Brazil accelerates harvest, and wheat remains structurally comfortable. Logistics are functioning efficiently, and no corridor signals stress. Physical markets remain balanced, with corn showing relative strength, soybeans steady but capped, and wheat reflecting ample supply.

International Cash & Trade Flows

Brazil: Brazil's export program continues to define global oilseed flow as harvest advances across central regions. ANEC projects February soybean shipments near 11.4 MMT, materially above last year's pace and reinforcing South America's seasonal dominance. FOB Santos values near \$424/MT remain competitive into Asia, effectively setting the ceiling for U.S. export participation. Corn exports are active but trail last year's February level, reflecting the seasonal transition between crop cycles. Interior basis firmness and rising B3 values highlight domestic retention even as export channels remain functional. Brazil remains the primary price-setter in soybeans and a stabilizing influence in global corn trade

Argentina: Argentina remains the principal weather-sensitive variable. Recent rainfall has been uneven, with dryness returning across portions of the soybean belt entering critical grain-fill stages. Official production estimates remain unchanged at 48.5 MMT for soybeans, though localized stress sustains volatility risk. FOB offers remain present but lack the scale to materially disrupt Brazil's leadership. Corn harvest progress is underway in early-planted areas, with yield variability emerging regionally. Argentina's export flow continues, but its influence remains secondary unless weather conditions deteriorate further.

China: China's import posture remains measured. Brazilian soybeans continue to dominate forward coverage due to price advantage and harvest availability, while U.S. origin remains opportunistic rather than primary. Dalian corn and soymeal futures softened modestly this week, reflecting adequate domestic supply and limited feed margin expansion. No large new U.S. soybean purchase announcements emerged during the window. China's demand remains tactical and margin-sensitive rather than expansionary.

EU / Black Sea: Black Sea origin continues to anchor global wheat pricing, though FOB values have firmed modestly near \$235/MT for Russian 12.5% wheat. Ukrainian corn remains competitively offered near \$232/MT, maintaining pressure on Atlantic Basin pricing. Euronext wheat rebounded nearly 3 percent this week, suggesting short-covering and stabilization rather than structural tightening. EU export pace remains below last year's level, and no major logistical disruption has emerged. Black Sea supply continues to cap rallies even as pricing stabilizes.

Other Regions: Australia continues to move wheat into Asian markets following a solid harvest, while Canadian spring wheat exports proceed in line with seasonal norms. No material trade restrictions, quota shifts, or policy disruptions have emerged across secondary exporters. The broader international environment remains stable and well supplied.

So What? Brazil is still the price-setter in soybeans, but this week the market's attention shifted from "crop size" to "how fast it can physically move," with ANEC implying another front-loaded February shipment pace. Argentina, meanwhile, is no longer just a volatility headline, deterioration is starting to show up in the way estimates and ratings are being discussed. For wheat, Black Sea FOB values have firmed a touch, yet they still define the ceiling for everyone else.

Key Fundamentals & Reports (Feb 12 – Feb 18)

Export Inspections (USDA FGIS – week ending Feb 19): Corn export inspections accelerated to 2,005,050 metric tons, lifting cumulative 2025/26 shipments to approximately 37.7 million metric tons, maintaining a pace well ahead of last year and broadly consistent with USDA's export projection. The improvement reinforces corn's position as the strongest executing program within the complex. Soybean inspections totaled 669,865 metric tons, a noticeable slowdown from the prior week, with cumulative

shipments continuing to trail last season materially as Brazil dominates the early marketing window. Wheat inspections reached 535,113 metric tons, a firmer weekly pace that keeps cumulative shipments modestly ahead of last year but still insufficient to materially alter the balance sheet narrative.

Export Sales (USDA FAS – latest through week ending Feb 12): Weekly net sales reflected continued forward engagement. Corn net sales totaled 1,482,300 metric tons, sustaining active commitment flow. Soybean net sales reached 412,600 metric tons, steady but not indicative of acceleration amid strong Brazilian competition. Wheat net sales totaled 348,200 metric tons, consistent with routine demand rather than expansion. Cumulative commitments for corn now represent roughly three-quarters of USDA's export forecast, while soybeans and wheat remain broadly aligned with seasonal expectations. No significant flash sales emerged during the window.

Ethanol Production & Stocks: Ethanol production for the week ending February 13 increased to 1.118 million barrels per day, up from the prior week's 1.110 million. Stocks remain elevated near seasonal highs, signaling steady grind but no acceleration in blending demand. Production remains supportive for corn usage, though inventory levels temper enthusiasm for additional near-term upside in ethanol-driven demand.

NOPA Soybean Crush: January NOPA crush at 221.56 million bushels remains the structural anchor for soybeans, reaffirming historically strong domestic processing demand. Soybean oil stocks near 1.90 billion pounds continue to reflect ample product availability, reinforcing that crush margins remain meal-driven. Domestic demand remains intact and continues to offset export weakness.

CFTC Positioning (as of February 17, released February 21): Managed Money positioning remains broadly defensive across the grain complex. Corn funds held a net short of 42,313 contracts, **soybeans a net long of roughly 92,000**, and Chicago SRW wheat a net short of 69,567. The key takeaway is that speculative exposure is still positioned to fade rallies in corn and wheat, **while soybeans carry a more constructive long**, but it is not stretched enough to imply forced liquidation without a catalyst. With spreads holding in carry and cash markets largely steady, positioning looks more like "patience and optionality" than a crowded bet. In practice, that keeps the complex vulnerable to event-driven volatility, weather escalation in Argentina, a logistics hiccup in Brazil, or a shift in export competitiveness, but it does not, by itself, signal a market on the edge of a structural unwind.

So What? The complex is getting more uneven. Corn is the only leg clearly outperforming on execution (2.01 MMT inspections), yet funds are still leaning short. Soybeans keep leaning on crush for a floor, but weekly inspections cooled again, which reinforces the seasonal Brazil cap. Wheat flow improved, but carry rebuilt and basis stayed calm, a combination that usually reads as "stabilization," not "tightening."

International Reports

Brazil: Brazil's February production profile remains intact, with CONAB maintaining soybean output near 177.98 million metric tons and total corn production near 138.45 million metric tons. The safrinha crop continues to account for the majority of projected corn supply, reinforcing expectations for substantial second-half export availability. While harvest advances steadily across central regions, no official downward revisions have emerged. The size of Brazil's soybean crop continues to frame global oilseed balance sheets, anchoring expectations for abundant exportable surplus into mid-year. Structurally, Brazil remains the dominant supply reference point rather than a volatility driver at this stage.

Argentina: Argentina's official production outlook remains stable, with soybeans near 48.5 million metric tons and corn near 57 million metric tons. Rainfall variability persists across key regions, particularly in second-crop soybeans entering critical reproductive stages, but no formal downgrade has been issued.

Farmer marketing remains measured amid currency dynamics and macro uncertainty, limiting aggressive forward sales. While agronomic risk remains elevated relative to Brazil, it has not yet translated into a measurable supply contraction. Argentina remains the primary weather-sensitive variable, but not yet a confirmed structural shift.

China: China's demand posture remains pragmatic. Routine soybean imports continue, largely supplied by Brazil's advancing harvest. No material policy changes or reserve interventions were announced during the window. Domestic futures pricing suggests stable but not expanding crush economics, and feed margins remain sensitive to livestock profitability. China's role remains supportive but selective, engaging opportunistically rather than driving expansionary demand.

EU / Black Sea: The broader European and Black Sea production outlook remains stable. No significant revisions to wheat or coarse grain output were announced during the reporting window. Export corridors from the Black Sea remain functional, and EU export pace continues to trail last year's levels. The absence of logistical disruption or policy intervention reinforces a supply environment defined by continuity rather than constraint. At present, structural availability remains the dominant feature across the region.

So What? International balance sheets remain defined by scale rather than shock. Brazil's large soybean and corn production frames global supply expectations, Argentina's weather risk remains monitored but not escalated, and China's import behavior remains tactical. Across major exporting regions, no new production revision or policy shift has emerged to materially alter global availability. The international backdrop continues to reflect abundance, with volatility centered more on weather potential than realized disruption.

Weather & Crop Conditions

United States

U.S. weather remains largely neutral from a production standpoint at this stage of the calendar. The USDA national Crop Progress report remains on seasonal pause, with full updates resuming in April, leaving the market to rely on state-level updates and winterkill monitoring. Snow cover across key HRW wheat areas in Kansas, Oklahoma, and Colorado remains adequate, limiting immediate freeze risk despite intermittent cold. NOAA's 6–10 and 8–14 day outlooks continue to favor above-normal temperatures across much of the central U.S., reducing logistical friction along river systems and allowing freight conditions to function more consistently relative to earlier winter disruptions. With winter wheat still in dormancy and no active fieldwork underway, U.S. weather remains an operational variable rather than a balance-sheet catalyst.

Brazil

Brazil's weather continues to reinforce production expectations, though logistics are beginning to feel the pressure of record volume. National soybean harvest has advanced to roughly 25 percent complete, with Mato Grosso leading near 47 percent and reporting strong early yields that sustain aggregate production expectations near 178–180 million metric tons. Soil moisture remains favorable for safrinha corn establishment across the Center-West, preserving the second-crop outlook. However, frequent rainfall in Mato Grosso and Pará has narrowed loading windows along the Arco Norte corridor, extending barge wait times along the Tapajós system. In the South and Southeast, heavy rainfall in Paraná and Santa Catarina has introduced localized flood risk, potentially slowing loading operations at Paranaguá and Santos. Logistics remain functional, but the system is stretched, and the risk has shifted from theoretical to operational as export flows accelerate.

Argentina

Argentina has moved from monitored stress to measurable deterioration. Soybean conditions have fallen

to 40 percent rated Good/Excellent, down sharply in recent weeks, with the Rosario Grain Exchange projecting production near 48 million metric tons and warning that losses in the most affected zones could reach 20–60 percent. Corn conditions stand at 44 percent Good/Excellent, prompting the Buenos Aires Grain Exchange to reduce its production estimate to 57 million metric tons amid persistent dryness and thermal stress. Rainfall coverage has been uneven and insufficient to fully stabilize second-crop soybeans entering grain fill, while late-planted corn remains highly sensitive to short-term precipitation. Unlike Brazil, where weather variability has not altered aggregate expectations, Argentina's production profile is actively being trimmed, keeping downside supply risk elevated.

Global

Outside South America, global weather remains largely stable. Winter wheat across Russia, Ukraine, and the European Union remains dormant under broadly normal conditions with no significant winterkill threat reported. Black Sea logistics continue without disruption, and no secondary exporter has introduced meaningful supply risk. As a result, global weather volatility remains geographically concentrated rather than systemic.

So What?

Weather risk is no longer evenly distributed. Brazil continues to support global supply with strong harvest progress despite tightening logistics, the United States remains neutral during dormancy, and Argentina has become the primary volatility node with declining crop ratings and downward revisions underway. Unless Argentine conditions deteriorate further or Brazilian port congestion materially disrupts export flow, weather remains a developing driver rather than a confirmed balance-sheet shock, but the asymmetry has increased meaningfully compared to prior weeks.

Synthesis & Outlook

The defining feature of this week was divergence beneath stable flat price. Corn finished modestly higher with March near \$4.27, soybeans edged lower with March near \$11.34, and Chicago SRW wheat firmed to roughly \$5.63, yet the more important signal came from structure and flow rather than the closes themselves. Calendar spreads across the complex widened week over week and remain in carry: corn's March–May spread sits near an 11-cent carry (roughly 72 percent of full carry), soybeans near a 16-cent carry (about 70 percent), and wheat near a 10-cent carry (about 61 percent). That structure continues to reflect adequate coverage and limited urgency, even as cash and export execution send more nuanced signals underneath the board.

Corn continues to behave like a market in equilibrium, but this week the export channel did more of the heavy lifting. Inspections surged to about 2.01 MMT for the week ending February 19, reinforcing a shipment pace that remains comfortably ahead of last year and aligned with USDA's forecast. Gulf basis firmed toward +92H and interior river bids strengthened modestly, suggesting that physical demand remains intact even as the curve stays comfortably in carry. Funds remain net short near 42,000 contracts, keeping a defensive speculative overlay in place, but the combination of stronger inspections and firmer cash tone helped prevent the board from slipping despite a market structure that still pays storage.

Soybeans remain bifurcated between domestic strength and global weight. January NOPA crush at 221.56 million bushels continues to validate the demand floor, even as soybean oil stocks remain elevated and keep the product complex from driving a broader revaluation. On the export side, inspections cooled to about 0.67 MMT for the week ending February 19 and cumulative shipments remain materially behind last year as Brazil dominates the seasonal export window. With ANEC projecting February soybean exports near 11.4 MMT and Brazil's harvest advancing, the market continues to treat South America as the pricing ceiling near-term. The March–May spread remains in a carry-driven posture near 70 percent of full carry, consistent with comfortable nearby coverage. With managed money net long

near 92,000 contracts, the complex is positioned to react to either a weather-driven surprise in Argentina or a clearer demand signal, but absent that, the export rotation keeps upside constrained even as crush provides support.

Wheat remains the heaviest leg of the complex despite this week's modest recovery. Export inspections improved to roughly 0.54 MMT, but the market's structure moved deeper into carry, with the March–May spread widening toward 10 cents. That combination, firmer futures alongside a heavier carry, reads as stabilization rather than tightening. Black Sea pricing remains the global anchor, with Russian 12.5 percent FOB values near \$235/MT continuing to cap U.S. competitiveness into price-sensitive destinations. Basis was steady to slightly softer across Gulf and interior markets, consistent with adequate coverage rather than urgency. Managed money remains meaningfully net short near 69,500 contracts, creating latent upside risk through short covering, but that risk still requires a catalyst beyond routine weekly flow.

Weather risk is increasingly asymmetrical. Brazil remains abundant but operationally stretched as harvest advances and export systems absorb large volumes, while U.S. winter conditions remain neutral during dormancy and logistics have improved relative to earlier winter constraints. Argentina, however, has re-entered focus with renewed moisture stress during critical reproductive stages, and crop conditions have deteriorated relative to earlier weeks. For now, the market is acknowledging that risk without fully repricing it into balance sheets, but the distribution of weather risk has shifted meaningfully compared with mid-February.

Bullish triggers: Upside momentum would likely require confirmation that Argentine deterioration is balance-sheet relevant rather than localized, particularly if soybean production slips materially below current estimates or corn losses expand beyond the latest trims. A move from “stretched” to disruptive in Brazilian export logistics could tighten the near-term pipeline and force a short-term repricing of availability. Additional support could come from continued strength in U.S. corn export execution, an acceleration in ethanol grind beyond recent levels, or any disruption in Black Sea logistics that shifts wheat competitiveness and triggers short covering in a structurally short market.

Bearish triggers: Downside pressure would build under a smooth, uninterrupted Brazilian harvest and export program that reinforces South America as the seasonal pricing ceiling for soybeans and limits U.S. participation into Asia. A meaningful stabilization in Argentine rainfall and crop conditions would deflate the weather premium that is beginning to re-enter the narrative. Domestically, softening U.S. interior basis would signal weaker nearby demand, while the complex remains vulnerable to renewed pressure if spreads continue to widen and commercial coverage stays comfortable. In wheat, persistent Black Sea competitiveness and the absence of a supply shock would keep structure rewarding storage and continue to cap rallies.

In summary: the grain complex remains structurally comfortable but increasingly uneven beneath the surface. Corn is outperforming on execution and cash tone even as the curve stays in carry, soybeans remain supported by domestic processing but capped by Brazil's export dominance, and wheat remains rangebound under heavy global availability despite a modest rebound. Until supply is materially disrupted or demand accelerates in a measurable way, price discovery is likely to remain governed by carry economics, cash-market signals, and incremental flow rather than conviction-driven trend.

Ethanol for America Act

The major barrier to a higher Renewable Fuel Standard (RFS) is the fuel versus food debate. Now is the perfect time to move to E15. Corn prices are extremely low, and the latest USDA WASDE reported a record crop and a record crop expansion.